

Opaque AI Credit Scoring with No Explainability

Annex III(5)(b) — High-Risk: Credit & Insurance

Description

A fintech lender deploys a deep-learning model to approve or reject personal loan applications. The model uses hundreds of non-traditional data inputs (e.g. smartphone usage patterns, app install history, typing speed) with no human-interpretable explanation for individual decisions, and applicants receive only a binary accept/reject outcome.

Why It May Violate the EU AI Act

- Credit scoring AI is listed as high-risk under Annex III — conformity assessment is mandatory.
- Article 13 requires transparency: affected persons must receive meaningful explanations.
- Article 14 mandates human oversight mechanisms before consequential decisions are finalised.
- Use of non-transparent proxy variables may perpetuate discrimination (e.g. postcode as race proxy).

Real-World Context

Many Buy-Now-Pay-Later fintechs use black-box ML models. GDPR Article 22 already grants a right to explanation for automated decisions; the EU AI Act adds conformity assessments, bias audits, and registration in the EU AI database as additional obligations for lenders.

This document is for educational and compliance awareness purposes only. It does not constitute legal advice. Consult qualified EU AI Act legal counsel for specific guidance.